

Preface

How much can you spend in retirement? Naturally, this is a very important question for those approaching their retirement date. Essentially, if you wish to retire one day, you are increasingly responsible for figuring out how to save during your working years and convert your savings into sustainable income for an ever-lengthening number of retirement years.

It is not an easy task, but it is manageable.

This guide focuses on sustainable spending from investments, which is an important piece of any retirement plan. People want to know if they have saved enough to be able to fund their lifestyle in retirement. In this book, I explain the findings of a large body of financial planning research regarding sustainable spending from investment portfolios in the face of a variety of retirement risks.

I start by discussing classic studies from the financial planner's approach to retirement income planning using safe withdrawal rates based on historical data. William Bengen's 1994 study gave us the concept of the SAFEMAX, which is the highest sustainable spending rate from the worst-case scenario observed in the US historical data. The Trinity study added portfolio success rates from the historical data for different spending strategies. Both studies suggest that for a thirty-year retirement period, a 4 percent inflation-adjusted withdrawal rate using a 50–75 percent stock allocation should be reasonably safe.

Next, I investigate the implications of the many assumptions incorporated in these classic studies. The underlying assumptions matter. Several factors suggest that the estimates about sustainable spending provided by traditional studies are too optimistic, such as:

- US historical data is not sufficiently representative of what may happen in the future,
- the portfolios of real-world investors may underperform compared to the underlying index returns,